

panies. One, engineering company JK Files, which has strong products such as engineering files, drills used in manufacturing, and power tools used by electricians and plumbers. And two, auto component maker Ring Plus Aqua, which manufactures a host of products.

It sells engine and transmission components to global OEMs such as Cummins, Caterpillar, BMW, among others, and in India to practically all OEMs in both passenger and commercial vehicles. The company also makes water pump bearings used in engine cooling circulation, and a product called Flex Plate, used in automatic transmission systems in vehicles. Ring Plus Aqua is now getting into new products such as dual clutch transmission and dual mass flywheels. About 60 per cent of its revenues comes from exports. "Each business can double in my opinion in four-five years, easily. Currently, there is a bullishness that is coming back after two Covid-19 years. Even in Covid years, we somehow managed to grow," says Balasubramanian. With the Indian auto industry moving into growth overdrive, things are continuing to look good for this business as well.

THE WAY AHEAD

Going ahead, Raymond is restructuring and streamlining its businesses to drive further growth. This April, Raymond Group exited its FMCG business by selling its condom brand Kama Sutra and deodorant brands Park Avenue and DS, to GCPL for ₹2,825 crore in an all-cash deal. However, Raymond will retain its condom manufacturing plants and contract-manufacture them for others. Analysts feel this sale reflects Raymond's desire to sell off a non-core business and strengthen its balance sheet. From GCPL's point of view, Naveen Trivedi, DVP-



"Raymond is under-indexed in ethnics and even branded casuals, so they will start from a lower base and they can scale up profitably"

ABHIJIT KUNDU

SENIOR VP-RESEARCH,
ANTIQUE STOCK BROKING



"Some parts of GCPL's portfolio are seasonal, and some don't fit into future consumption patterns... [It] may be looking to fix this by acquiring Raymond's FMCG business"

NAVEEN TRIVEDI

DVP-INSTITUTIONAL
EQUITY, HDFC SECURITIES

Institutional Equity, HDFC Securities, says: "On the core business side, some parts of GCPL's portfolio are seasonal in nature, and some parts don't fit into future consumption patterns. GCPL may be looking to fix this problem by acquiring this business, which is more in the personal care segment and is growth-oriented, where they can drive their own distribution."

In parallel, the businesses of

Raymond have now been shuffled into a new structure. The lifestyle businesses are being demerged from Raymond Ltd into Raymond Consumer Care Ltd (RCCL), and Raymond Ltd's main business will be real estate, with investments in engineering-auto and denim. "RCCL will see reduction in debt levels and better funding of working capital internally, because it now has cash from the sale of the FMCG business to GCPL," says Kundu. "It will have a strong balance sheet, which will help fund the working capital needs of the lifestyle business."

While things have been smooth sailing in recent times, Raymond will have to watch out for potential stumbling blocks. "The apparel market saw a lot of growth due to explosion of pent-up demand last year, which has now been exhausted. So, there will be a slowdown in branded apparel growth this fiscal, but it is likely to make a comeback in FY25," says Kundu. In real estate, the move into joint development in areas beyond its comfort zone of Thane would require Raymond to manage relationships with multiple stakeholders, which can be a challenge. Then, export markets, largely western economies, are seeing their own challenges including high inflation, high energy prices, volatile currencies, war, and fears of a possible recession. And while these factors have not affected Raymond in FY23, there's no predicting the future.

Challenges or no, what stands out in this whole story of the revival of Raymond is the positive mindset of its promoter and its band of leaders, and their willingness to take setbacks on the chin, shrug and move on. With the company's businesses firing on all cylinders, clearly, this story isn't over yet. **BT**

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